

ORIGINAL

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(APRIL 14, 1993)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

April 14, 1993

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

**RULING ON MOTION OF SEA-LAND SERVICE, INC.
CONCERNING THE SEQUENCE IN WHICH HOSTILE
WITNESSES SHOULD APPEAR AT THE HEARING**

In a telephone conference among the parties on Saturday, April 3, 1993, Sea-Land Service, Inc.'s (Sea-Land) counsel state that he was informed that complainants (GovGuam) intend to call hostile fact and document authentication witnesses in the midst of the tendering of its own written direct case witnesses for cross-examination. Sea-Land objects to the presentation of hostile jurisdictional fact witnesses after the examination of GovGuam's experts.

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Sea-Land requests a ruling that all parties will be required to submit their entire direct cases, including the oral testimony of any hostile witness, prior to the cross-examination of any witness who has previously submitted written testimony. Specifically Sea-Land seeks an order confirming that all hostile witnesses who form a component of GovGuam's direct case be required to deliver their oral direct testimony before cross-examination on GovGuam's written direct testimony begins; and that GovGuam be directed to present hostile witnesses in any order it deems appropriate before tendering its direct case witnesses for cross-examination. Sea-Land wants GovGuam's witnesses, Nadel, Hahne and Hays, to testify after, not before, GovGuam's hostile witnesses. GovGuam has given notice that it intends to submit its expert witness (Dr. Ernest Nadel) for cross-examination at the beginning of hearings before any fact witnesses (hostile or otherwise) testify. Sea-Land argues that this procedure inverts the normal order of presentation and ensures that the witness Nadel's cross-examination will proceed before Sea-Land gains any knowledge of the hostile witness testimony; that, normally, expert witnesses testify last--after the "facts" are in the record; and that this sequence leaves respondent guessing as to the total content of the direct testimony at a time when complainants' expert is being cross-examined.

Sea-Land's Position

GovGuam has listed ten hostile witnesses (all but one are, stated to be, present or former Sea-Land employees) who are to provide oral direct testimony in support of complainants' case. Three of these witnesses are designated to provide substantive factual

testimony. Sea-Land states that it can only speculate as to which facts GovGuam hopes to introduce through these "hostile" witnesses; that it has been furnished no information as to the substance of their testimony, but that the testimony of the hostile witnesses can be expected to contain elements that Sea-Land must know before it can discern the extent of GovGuam's direct case and before it undertakes any cross-examination of complainants' witnesses.

Sea-Land suspects that two of the hostile fact witnesses are to be used as jurisdictional witnesses. Sea-Land argues that when there exist threshold jurisdictional questions which bear directly upon the nature and substance of an experts' testimony, as in this case, orderly administrative procedure dictates that the jurisdictional facts be presented before complainants' experts are presented for cross-examination. *Southern Stevedoring Co. v. Voris*, 190 F.2d 275, 277 (5th Cir. 1951) (even though administrative agencies are not required to observe rules of evidence, hearings must still be conducted in accordance with fundamental principles which inhere in due process of law), citing *Reilly v. Pinkus*, 338 U.S. 269 (1949); *Wilson v. FCC*, 170 F.2d 793 (D.C. Cir. 1947). Sea-Land urges that orderly procedure dictates that the fact testimony, including jurisdictional testimony, be received first to provide a basis for expert testimony and cross-examination of experts; and to provide a basis for any procedural and substantive motions by Sea-Land at hearing, including dispositive motions.

In Sea-Land's view, until the hostile witnesses have testified, complainants' expert testimony is merely hypothetical. Sea-Land argues that if the proper factual foundations are not laid for a witness's opinion, the expert testimony is properly excluded, *Griffin v. Ensign*,

234 F.2d 307 (3rd Cir. 1956); that opinions are valueless as evidence without exploration of underlying facts and rationale showing the path from facts to opinion, *United States v. R.J. Reynolds Tobacco Co.*, 416 F.Supp. 316 (D.C. N.J. 1976); that the opinions of expert witnesses must be based upon facts which are sufficient to form a basis for the opinion, *Logsdon v. Baker*, 366 F.Supp. 332 (D.C. D.C. 1973), vacated on other grounds, 517 F.2d 174 (D.C. Cir. 1975), and see also Federal Rules of Evidence 703 (bases of opinions of experts).

Sea-Land believes that the problem is particularly acute regarding expert witnesses who must base their conclusions on the testimony of fact witnesses; and that opinion testimony based upon hypothetical facts not shown to exist has been held to be "not evidence." *Heard v. United States*, 348 F.2d 43, 45 fn. 5 (D.C. Cir. 1964).

Sea-Land contends that a key jurisdictional question in this case is the "mix" of ICC v. FMC (if any) shipments; that GovGuam's experts, such as Dr. Nadel and Mr. Hahne, base critical and complex economic testimony on certain assumptions about the ICC/FMC mix; that where expert testimony is based on certain assumptions, there must be some evidence that the assumptions are valid. *Sheats v. Bowen*, 318 F.Supp. 640 (D.C. Del. 1970). Sea-Land believes the witnesses Nadel, Hays and Hahne have insufficient personal knowledge to establish the jurisdictional facts necessary to their testimony. Sea-Land notes that all three of these witnesses are currently listed by GovGuam to testify before hostile fact witnesses Nikkhoo and Slayman. Sea-Land contends that the witness Hays has not been qualified as or represented to be an expert; that if the predicate for his "other" testimony is to be derived in whole or in part from hostile Sea-Land witnesses, that information should be available before Nadel, Hahne, or Hays are cross-examined so that it may form the basis

for cross-examination questioning. Sea-Land does not contest GovGuam's selection of the ordering of witnesses within the completion phase of its direct case (i.e., oral hostile direct testimony). Sea-Land urges that it has a right to know the content of GovGuam's case before examining complainants' experts and other witnesses and that complainants' experts should be tested on their opinions after all the facts are in, and the "entire" direct case submitted. American President Lines, Ltd. (APL) supports Sea-Land's motion.

GovGuam replied contending that the assumptions underlying Sea-Land's motion are incorrect and that no legitimate basis exists for the ruling sought by respondent.

GovGuam's Position

In GovGuam's view, the claims in this case fall into two distinct categories. First, GovGuam alleges that respondents charged unjust and unreasonable rates in their port-to-port services to Guam. By its own admission, Sea-Land's service to Guam in 1988 and until June 23, 1989, was port-to-port and was conducted pursuant to tariffs filed with the Federal Maritime Commission (FMC). Second, complainants assert that, contrary to its claims, Sea-Land's operations in the Guam trade were still subject to FMC jurisdiction after June 23, 1989, because it allegedly continued to provide a port-to-port service subject to FMC jurisdiction. Thus, the jurisdiction of the FMC, and this tribunal, to hear the claims is unchallenged for the period prior to June 23, 1989, covered by the first and second counts of the amended complaint. It is with regard to these counts that Dr. Nadel and Mr. Hahne will testify. Mr. Hahne's testimony with respect to Counts I and II reflects Sea-Land's financial condition only through June 1989.

The "jurisdictional" issues do not pertain to jurisdiction at all, but merely to the second category of complainants' claims: whether Sea-Land has been operating a port-to-port service since June 23, 1989, without filing the necessary tariffs with the FMC. The hostile direct testimony (other than Mr. Wong's testimony) will be presented with regard to the latter two counts in the amended complaint. Therefore, according to GovGuam, the testimony relating to Counts III and IV is not a predicate to testimony relating to Counts I and II.

GovGuam asserts that the order of its witnesses to be called at the hearing will not impede respondents' abilities to cross-examine other witnesses; that its expert testimony is not based upon facts to be obtained from hostile direct testimony; that the hostile "financial" witness, Mr. Wong, is scheduled to testify before Mr. Hahne, GovGuam's expert on Sea-Land's financial case, and the hostile "jurisdictional" witnesses, Mr. Nikkhoo and Mr. Slayman, are scheduled to testify before other so-called "jurisdictional" witnesses. GovGuam asserts that on January 15, 1993, Sea-Land was given notice of the expected scope of the testimony of the hostile witnesses: Nikkhoo to testify about Sea-Land's documents and operations at the port of Long Beach (also to testify about the Sea-Land/SLMF documents); Slayman to testify about California Cartage's operations with respect to Guam-bound containers including its facilities and agreements with Sea-Land; and Wong to testify about Sea-Land's data collection used to compile Sea-Land's G.O. 11 reports, including data used by Sea-Land to calculate the FEU-mile ratio. GovGuam states that it also disclosed in its Prehearing Memorandum that the facts concerning Sea-Land's continuous port-to-port operations after June 23, 1989, "will also be established through the

testimony of the Sea-Land employees who were involved in port operations." *Id.* at 45. GovGuam urges that the cases cited by Sea-Land provide no support for its position; that *Southern Stevedoring Co. v. Voris*, 190 F.2d 275 (5th Cir. 1951), involved the defendant's obvious right to "cross-examine" an ex parte letter submitted by the claimant.

Discussion and Conclusions

Sea-Land has not presented sufficient reasons warranting curtailment of GovGuam's right to present its case in its own fashion and to present witnesses for cross-examination in the order it chooses. From all that appears, GovGuam's experts will not rely upon the expected oral testimony of the hostile direct witnesses. If the testimony at the hearing reveals otherwise, the experts can be recalled if necessary, or the parties can enter into stipulations to cover the matter or take other appropriate steps.

IT IS ORDERED:

Sea-Land's motion dated April 6, 1993, is denied.


Frederick M. Dolan, Jr.
Administrative Law Judge